Intelligent Investing

ET Prime Special Series: Multibagger or IBC - Part 77: This auto ancillary wants to double revenue by FY30. Execution to decide



Representational image.

Synopsis

A business can diversify in two ways: Slowly, by building new capabilities internally; or quic
supplier has chosen the second route. It has expanded from a mechanical-only portfoli
platform, doubled its manufacturing footprint, and added more than four alliances. The c
broader product basket and new global orders. The risk is equally important. The new busi
that growth can translate into durable returns.

Here is a test worth applying to any company that has grown fast. Getting bigger is easy: You will see more revenue, more factories, more products. Getting better is harder to prove, and it comes down to one question: Is the company earning more on each rupee put into it than it used to?

There is a difference between selling more of the same product and becoming a different business. This supplier is attempting the second. Acquisitions,

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JVs, and new manufacturing capabilities have widened its addressable market, while FY26 revenue and profit moved higher. The ambition is now much bigger than the legacy operation. That also means investors have more moving parts to track.

A company that wants to roughly double revenue within four years has two jobs. It must find enough growth, and it must make sure the growth earns acceptable returns. This old auto ancillary supplier is trying to do both through exports, value-added products, acquisitions and fresh capacity. FY26 shows progress, but also makes the next phase of execution more important.

The company we will be taking a deep dive into is **Remsons Industries Limited** (REMSONSIND).

But first... about our headline

Multibagger or IBC (Series: AA 125) : A set of stocks from which multibaggers & IBC cases may emerge in the next 2 to 5 years.

This was the headline of our series opener on the auto ancillary sector.

Before we explain it, let us introduce this research-based analytical series that will, every week, take you on a deep dive into auto ancilliary companies that are well prepared to handle the EV transformation, or are preparing to do so. Also, the ones that are likely to go under IBC as they are just not relevant in the EV age.

Back to the headline: AA stands for auto ancillary, 125 is the

This series on auto ancillary companies works with the assumption that, from the whole set of auto ancillary companies, some multibagger stocks will emerge. And some companies in this space risk going bankrupt.

For previous stories in this AA Series, kindly click on the respective links -**Intro**, **1**, **2**, **3**, **4**, **5**, **6**, **7**, **8**, **9**, **10**, **11**, **12**, **13**, **14**, **15**, **16**, **17**, **18**, **19**, **20**, **21**, **22**, **23**, **24**, **25**, **26**, **27**, **28**, **29**, **30**, **31**, **32**, **33**, **34**, **35**, **36**, **37**, **38**, **39**, **40**, **41**, **42**, **43**, **44**, **45**, **46**, **47**, **48**, **49**, **50**, **51**, **52**, **53**, **54**, **55**, **56**, **57**, **58**, **59**, **60**, **61**, **62**, **63**, **64**, **65**, **66**, **67**, **68**, **69**, **70**, **71**, **72**, **73**, **74**, **75**, **76**

A Different Company

Remsons' own FY26 presentation helps us understand what has changed. In its 2019 snapshot the company described a business with a 6% EBITDA margin, a mechanical-only product

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portfolio, four manufacturing plants in India, no strategic alliances and a sector focus that was largely two-wheelers.

By the 2026 snapshot, the picture had changed. The EBITDA margin was 11%. The product portfolio extended across mechanical systems, sensors, lighting, locomotive, and defence applications. The manufacturing footprint had doubled to eight plants across India and the UK.

Management counted more than four JVs and acquisitions, while the end-market exposure had widened to two-wheelers, three-wheelers, four-wheelers, commercial vehicles, off-highway vehicles, and rail.



Source: Q4 & FY26 investor presentation

This is the core of the Remsons story today. The business is trying to move from being known primarily for cables and mechanical components to being a wider mobility solutions supplier.

The company says it has more than 60 years of automotive-sector experience, serves more than 20 countries and has more than 250 dealers across India. Its presentation also talks about more than 2 Tier-1 OEM partnerships globally.

The revenue mix is already broader than the old identity suggests. In FY26, management presented 62% of revenue as coming from India and 38% from

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the rest of the world.

Passenger cars contributed 42%, two- and three-wheelers 34%, commercial vehicles 19%, off-highway applications 4%, and other segments 1%.

More importantly, the OEM business accounted for 92% of revenue, while aftermarket was 8%.



Source: Q4 & FY26 investor presentation

That mix is important. It reduces dependence on one vehicle category and gives the group more routes to growth. But diversification only creates value if the new activities earn adequate margins and do not stretch the balance sheet.

The Engines

So, the next step is to understand what Remsons actually makes. The company now presents its product platform through three main engineering disciplines: Mechanical systems, sensors, and lighting.

Mechanical products are the oldest part of the business. This basket includes push-pull cables and gear shifters, brake, clutch and throttle cables, pedal boxes and accelerator modules, winches, screw-type jacks, and railway and defence components.

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Source: Q4 & FY26 investor presentation

The simplest product to understand is a **control cable**. Think of the brake cable on a bicycle. A movement at one end is transferred through a flexible cable to create movement at the other end. In a vehicle, the same broad idea can be used for functions such as a parking brake, clutch, throttle, bonnet release, door latch, or other mechanical controls.

Push-pull cable does a similar job but is designed to transmit force in both directions. That makes it useful when the mechanism has to be actively moved forward and backward instead of simply pulled.

Gear-shift system combines the driver-side lever and the cables or linkages that carry the driver's input towards the transmission. Remsons' product material shows complete gear-shift assemblies and applications across passenger cars, commercial vehicles, buses, off-highway vehicles and farm equipment.

Pedal box is the structural assembly around the driver's pedals. It holds the pedal mechanisms in the correct position and translates foot movement into the vehicle's control system.

Jacks and winches are easier to visualise. A jack lift a vehicle when a wheel has to be changed. A winch winds or unwinds a cable to pull or raise a load. Remsons also makes spare-wheel winch systems

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and has disclosed it as its first patent.



Source: Linkedin Post

These products may sound simple, but an OEM does not buy them merely as pieces of metal and cable. They must work repeatedly, fit inside tight packaging, meet durability requirements, and integrate with the customer's vehicle design.

The second discipline is **embedded sensors and smart systems**. The FY26 presentation lists more than 100 sensor SKUs and products such as position sensors, speed, pressure and temperature sensors, HVAC actuators and control modules, pedal modules, and radar, DC-DC, ECU and MCU platforms.

A **sensor** can be thought of as the vehicle's measuring organ. It detects a physical condition such as position, speed, pressure, or temperature and converts it into a signal that a control system can use. As vehicles add more electronic control, the value shifts from only moving a mechanical part to measuring, interpreting and controlling what is happening.

Remsons acquired a majority shareholding in Uni Automation in 2024. The presentation says the business was established in 1985 and has in-house design, manufacturing, validation, and software-development capabilities. It also highlights a sensor portfolio covering throttle position, fuel level,

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temperature, brake and Hall-effect based sensors.



Source: Q4 & FY26 investor presentation

The third discipline is **lighting**. Remsons acquired 51% of UK-based BEE Lighting in 2024. BEE specialises in exterior and interior automotive lighting for premium and performance OEM programmes. Its disclosed capabilities include head and tail lamps, daytime running lamps, signal lamps, interior lighting, active-spoiler CHMSL, and engineered modules.

The presentation names Aston Martin, Lamborghini, Jaguar, and Ford GT among BEE's premium clientele.



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Source: Q4 & FY26 investor presentation

The strategic logic is visible. Mechanical systems give Remsons its legacy customer access and manufacturing base. Sensors add electronics and embedded control. Lighting adds another product category.

The group is therefore trying to sell more content to a wider customer set rather than depend only on growth in its original cable business.

The EV Question

The EV question needs some restraint. Remsons describes its portfolio as "largely EV-agnostic" and presents sensors as part of its next-generation EV ecosystem. Its overall portfolio also spans products that can be used across multiple fuel types.

That description needs a closer look. A component supplier can have one product that disappears in an EV and another that becomes more important. Treating the entire company as either an EV winner or an EV loser would miss that difference.

The impact of electrification differs across Remsons' products. Let's see how.

Conventional clutch cables face the risk, as mainstream pure **EVs** generally do not require a conventional clutch. Traditional mechanical throttle cables also become less relevant as accelerator inputs are increasingly controlled electronically.

Gear-shift systems can still remain relevant, although their design changes because EVs typically use a different transmission architecture and still require driver selection and control systems.

Several other products have better carryover across powertrains. Accelerator and brake pedals remain necessary, while braking and parking functions also continue, though the underlying mechanism may change.

Jacks, winches, and tyre-mobility kits are largely independent of whether the vehicle is powered by an internal-combustion engine or an electric motor.

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Sensors and lighting also remain relevant in EVs. Position, speed, pressure and temperature sensing continue to be required across vehicle systems, while lighting requirements remain largely independent of the powertrain.

Remsons also has railway products, which sit outside the direct ICE-to-EV transition.

The more important question for investors is therefore how much of the company's future revenue comes from EV programmes and how these programmes win scale over time.

The company clearly positions sensors, lighting and several mechanical systems as relevant across future mobility, but investors still need to watch out for the actual EV programme wins and disclosures to judge the scale.

Building the Platform, Inorganically

The transformation has been accelerated through acquisitions and joint ventures. An important step in this inorganic expansion came in 2020, when Remsons acquired the business and assets of UK-based Magal Cables.

The unit manufactures control cables, pedal boxes, winches, jacks and gear shifters. Magal Cables was subsequently renamed Remsons Automotive UK. Management has also highlighted the opportunity to transfer products and technology between the UK and Indian operations.



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Source: Q4 & FY26 investor presentation

The FY26 group structure shows two broad arms. Under the UK side are Remsons Automotive UK, BEE Lighting UK, BEE Lighting's Czech Republic, and Remsons Brazil. On the India side are Remsons India, Aircom Remsons, Remsons Edge Technologies, and Remsons-Uni Autonics.



Source: Q4 & FY26 investor presentation

The statutory subsidiary and JV disclosures add the ownership detail. Aircom Remsons Automotive Private Limited is a 26% JV. Daiichi Remsons Electronics Private Limited is a 50% JV. Remsons-Uni Autonics is a subsidiary with 55% stake, while Remsons Edge Technologies is 100% subsidiary.



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Source: Quarterly Results June 2026

Aircom illustrates how Remsons is using partnerships to enter adjacent products. The JV is with Poland's Aircom Group and focuses on tyre mobility kits.

A tyre mobility kit is intended to replace the need for a regular spare wheel for certain puncture situations. Remsons' presentation sees demand from existing OEM customers as well as aftermarket potential.



Source: Q4 & FY26 investor presentation

Separately, in June 2025, Remsons entered into a technical licence agreement with Brazil-based AUSUS Automotive Systems for technology transfer and access to the Brazilian automotive market.

Management said in February 2026 that the arrangement was progressing, although the company has not separately quantified any revenue contribution from it.

Daiichi Remsons Electronics is a newer JV. The annual report says it was incorporated on April 28, 2024. FY26 profit or loss for the year was nil, while another annual-report note says the entity was yet to commence operations.

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That distinction is important. A JV can expand capability on paper before it contributes meaningfully to earnings. For Daiichi, the source material supports strategic optionality, but not yet a financial contribution.

There was also movement around Astro Motors. The company had approved an investment that resulted in a 35.86% stake, but subsequently sold its entire share holding for a lump-sum consideration of Rs. 10 crore. Astro consequently ceased to be an associate.

Remsons Edge Technologies moved the other way. During FY26, the group acquired the remaining 49% shareholding and took its ownership from 51% to 100%. The group structure positions this business around parts for Indian Railways.

These moves show an active approach to capital allocation. The group is willing to enter, increase ownership, partner, or exit depending on the opportunity. That can speed up portfolio building, but it also means investors have to follow the economics of each entity rather than treating every acquisition or JV as automatically value-accretive.

The balance sheet already reflects this strategy. Consolidated goodwill rose to Rs. 36.79 crore in March 2026 from Rs. 33.64 crore a year earlier. Customer-contract intangibles also increased.

More importantly, goodwill valuation was a Key Audit Matter in the consolidated FY26 audit. A Key Audit Matter is not the same as a qualification or an adverse opinion. It means the auditor considered the area significant enough to require particular attention in the audit. For investors, the practical point is that acquisition accounting is now materia enough to deserve monitoring.

Orders & Markets: Scaling Organically

The strongest argument for the wider platform is that new order wins are already appearing across products and geographies.

The largest disclosed win in the FY26 presentation i an order of more than Rs. 300 crore from Stellantis

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N.V. in North America for auto control cables, spread over seven years. Management described it as one of the largest orders in Remsons' history.

The same results presentation also lists a Rs. 160 crore, 10-year pedal-box assembly order from a global commercial-vehicle OEM; a Rs. 60 crore, five-year gear-shifter with push-pull cable order from a commercial-vehicle OEM; a Rs. 30 crore, five-year hood-rod assembly order from a global OEM; and a Rs. 12 crore exterior-lighting order through BEE Lighting from a global MNC OEM.



Source: Q4 & FY26 investor presentation

These figures are order values over several years, not FY26 revenue. They should therefore be read as programme visibility rather than added directly to one year's sales.

The company says 38% of FY26 revenue came from the rest of the world. Its client material shows relationships across Indian and global OEMs.

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Source: Q4 & FY26 investor presentation

The company is also investing in capacity. At Chakan in Pune, management disclosed a 30,000 sq ft facility linked to the locomotive business. The presentation says this expansion carries an investment of around Rs. 5 crore, with potential revenue of around Rs. 50 crore at full utilisation over about three years.



Source: Q4 & FY26 investor presentation

The railway product material points to flexible cables, potentiometers, push-rod assemblies, pressure switches, slack adjusters, brake cylinders, air reservoirs and load-sensing devices as areas of expansion. This is still a developing vertical, but it further reduces the dependence on automotive

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applications.



Source: Q4 & FY26 investor presentation

Management's longer-term roadmap is much more ambitious. It has disclosed a planned capex of Rs. 100 crore and a revenue target of Rs. 900-Rs. 1,000 crore by FY30.

The strategic priorities listed are more exports, a shift towards value-added products, acquisitions into higher-margin products, and a general increase in business scale. Management's EBITDA-margin guidance in the presentation is 13%-14%.



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Source: Q4 & FY26 investor presentation

The target should be treated as management

guidance, not as an assured outcome. FY26 revenue was Rs. 468.7 crore. Reaching the midpoint of the target would require the group to roughly double from here over four years.

The order wins and new businesses provide a route. The challenge is doing it without allowing working capital, debt, or acquisition costs to consume the operating gains.

Numbers Catch Up

FY26 was a stronger year financially. Revenue increased to Rs. 468.7 crore from Rs. 376.6 crore, a 24% rise. EBITDA rose 33% to about Rs. 49.5 crore from Rs. 37.4 crore. Profit before tax increased to around Rs. 27.7 crore from Rs. 22.4 crore, while PAT rose 25% to Rs. 18 crore from Rs. 14.4 crore.

The EBITDA margin reached 11%, while PAT margin was 4%. Net debt to equity was 0.57 times as of March 2026.

The improvement matters because Remsons' own 2019 comparison starts with a 6% EBITDA margin. The 2026 margin is almost twice that level. The company attributes the broader journey to product diversification, geographic expansion, strategic partnerships, new capabilities, and multi-sector penetration.

But the balance-sheet detail deserves equal weight. Consolidated inventories stood at Rs. 78.88 crore at March 2026, up from Rs. 74.21 crore a year earlier. Raw material was Rs. 50.06 crore and finished good Rs. 19.65 crore. Goods in transit included within finished goods were Rs. 7.06 crore.

Inventory has also been mentioned as a Key Audit Matter. The auditor noted that the company carries a sizable portion of inventory that is material relative to total assets, and that identifying slow-moving and non-moving inventory involves management judgement. Audit procedures include reviewing ageing, movement, alternate use, and net realisable value.

This does not mean inventory is misstated. It means inventory quality is an area where investors should

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watch the ageing profile as the product basket expands.

Trade receivables were around Rs. 75.6 crore at March 2026 versus about Rs. 76.2 crore a year earlier. Most of the disclosed receivables were less than six months old. That is a useful context because revenue grew materially while total receivables remained broadly stable.

The annual report also shows contingent income-tax matters of Rs. 7.78 crore and capital commitments of around Rs. 1.9 crore. These are not large enough on their own, but they belong in the balance-sheet picture.

There is another nuance around returns. The annual-report ratio disclosure says return on net worth declined to 10.15% from 12%, with the company attributing the fall to an increase in the average equity base. In other words, profit grew, but the capital base also expanded.

That is the right lens for the next phase. Remsons is no longer only trying to improve profit. It is deploying capital into acquisitions, subsidiaries, new capacity, and a planned Rs. 100 crore capex programme. The test is whether future earnings grow faster than the capital required to create them.

Ownership Pattern

Promoter ownership remains concentrated. In March 2026, Krishna Kejriwal held 24.06% and Chand Kejriwal 25.85%. Other promoter-group holdings shown in the annual report include Rahul Kejriwal, Shivani Kejriwal, Ranee Khatkhate, promoter HUFs, and promoter-group companies. The disclosed promoter-group holdings in that table add up to about 65.5%.

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Source: Annual Report FY26

Outside the promoter group, FIIs held 2.33% of the company as of March 2026, while DIIs held 1.22% and public shareholders held 30.93%. FII ownership had declined from 3.64% in March 2025, after touching 5.10% in June 2025, while DII holding increased from 0.35% in March 2025 to 1.22%.

Public shareholding increased from 29.87% to 30.93% over the same one-year period. The number of shareholders also rose from around 8,500 in March 2025 to 16,500 in March 2026.

Financials: Have Numbers Improved?

Remsons is now putting more capital into acquisitions, subsidiaries, new products, and capacity-building. So the financial question is no longer simply whether sales are growing. It is whether the larger business is producing better earnings, cash flow, and returns without stretching the balance sheet.

The historical data also needs one caveat: Figures from FY21 onward are consolidated, while FY20 and earlier are standalone. So comparisons across that boundary are not strictly like-for-like.

Dividends & Earnings

EPS shows the profit attributable to each share, while DPS shows how much of that profit is distributed as dividend.

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Adjusted EPS increased from Rs. 2.93 in FY23 to Rs. 4.12 in FY25 and Rs. 5.17 in FY26. The FY26 increase of about 25% broadly follows the improvement in profits discussed earlier. The longer trend is also stronger than the company's earlier years.

Dividend growth has been much slower. Adjusted DPS remained at Rs. 0.30 in FY25 and FY26, while the payout ratio declined to 5.8% in FY26 from 10.2% in FY23. In other words, most of the earnings are being retained rather than distributed. That fits the broader strategy discussed earlier, where **Remsons Industries** is deploying money into acquisitions, subsidiaries and additional capacity.

Remsons Industries Ltd - DPS & EPS

	Consolidated					
Description	**FY26**	**FY25**	**FY24**	**FY23**	**FY22**	**FY2**
Adjusted EPS (Rs)	5.17	4.12	0.76	2.93	1.88	1.5
Adj DPS (Rs)	0.30	0.30	0.06	0.30	0.20	0.2
Dividend Pay Out Ratio (%)	5.80	7.28	7.86	10.24	10.65	12.7

The recent acceleration in the business is visible in sales. Gross sales increased from Rs. 312.3 crore in FY24 to Rs. 381.7 crore in FY25 and around Rs. 470 crore in FY26. PAT increased from Rs. 13.3 crore to Rs. 17 crore and then Rs. 20.6 crore over the same period. Profit has therefore continued to rise along with the expansion in business.

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Remsons Industries Ltd - Income Statement

Amounts in INR Crores

	Consolidated				
Description	**FY26**	**FY25**	**FY24**	**FY23**	**FY22**
Gross Sales	475.96	381.68	312.30	312.80	286.45
Total Income	473.95	379.92	315.57	314.49	287.19
Total Expenditure	419.16	339.23	281.13	286.96	266.22
Gross Profit	215.28	171.51	133.48	117.68	105.66
PAT	20.63	16.96	13.32	8.37	5.36
Cash Profit	38.39	28.64	24.33	17.51	13.30

The balance sheet has expanded considerably. Net worth increased from Rs. 42.3 crore in FY23 to Rs. 111.3 crore in FY24 and Rs. 148.8 crore by FY26. Reserves and surplus reached Rs. 141.8 crore in FY26.

Debt has risen as well. Total debt increased from Rs. 60.5 crore in FY24 to Rs. 81.3 crore in FY25 and Rs. 92.6 crore in FY26.

This matters because the next phase is capital-intensive. Management has outlined a planned Rs. 100 crore capex programme. Debt is therefore worth watching not simply in absolute terms, but against the earnings and cash flow generated by the additional capital.

Remsons Industries Ltd - Sources of Funds

Amounts in INR Crores

	Consolidated				
Description	**FY26**	**FY25**	**FY24**	**FY23**	**FY22**
Equity Paid Up	6.98	6.98	6.98	5.71	5.71
Reserves and Surplus	141.83	118.64	104.30	36.55	28.82
Net Worth	148.81	125.61	111.28	42.27	34.53
Total Debt	92.58	81.27	60.50	76.99	72.24
Capital Employed	241.39	206.88	171.78	119.26	106.77

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The expansion is particularly visible in the asset base. Gross block increased from Rs. 94.95 crore in FY24 to Rs. 178.57 crore in FY25 and Rs. 223.02 crore

in FY26. Total assets reached Rs. 360.6 crore, compared with Rs. 237.5 crore two years earlier.

Cash and bank balances recovered to Rs. 23.67 crore in FY26 from Rs. 14.61 crore in FY25, although they remain below the Rs. 48.31 crore reported in FY24.

Remsons Industries Ltd - Application of Funds

Amounts in INR Crores

	Consolidated				
Description	**FY26**	**FY25**	**FY24**	**FY23**	**FY22**
Gross Block	223.02	178.57	94.95	79.13	65.63
Investments	0.11	0.12	-	-	0.51
Cash and Bank balance	23.67	14.61	48.31	15.41	6.39
Net Current Assets	47.45	49.77	61.80	16.29	10.05
Total Current Liabilities	151.80	136.51	101.28	106.67	99.84
Total Assets	360.59	322.95	237.50	190.29	174.85

Cash flow from operations increased to Rs. 59.94 crore from Rs. 22.18 crore in FY25, compared with PAT of Rs. 20.63 crore. Cash generation therefore exceeded reported profit in FY26. That is important because cash conversion had been uneven in earlier years. CFO was only Rs. 15.48 crore in FY24 despite higher reported profit than in FY23, and was negative in FY21.

Remsons Industries Ltd - Cash flow from operations

Amounts in INR Crores

	Consolidated					
Description	**FY26**	**FY25**	**FY24**	**FY23**	**FY22**	**F**
Cash Flow from Operations	59.94	22.18	15.48	27.70	14.35	-

RoCE was 16.14% in FY26, compared with 15.27% in FY25 and 15.84% in FY24. Returns have therefore remained broadly around the mid-teens even as the capital employed in the business has increased.

The market multiple has also changed sharply. The historical table shows adjusted PE declining to 15.18

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times in FY26 from 28.64 times in FY25, even as EPS increased.

Remsons Industries Ltd - Key Data Points

	Consolidated				
Description	**FY26**	**FY25**	**FY24**	**FY23**	**F**
ROCE (%)	16.14	15.27	15.84	16.27	1
Market Capitalization (INR Cr)	273.97	411.57	3,208.69	111.07	10
Equity Dividend (%)	15.00	15.00	15.00	15.00	1
Dividend Yield (%)	0.38	0.25	0.03	0.77	
Adjusted PE (x)	15.18	28.64	240.89	13.27	1

Remsons Industries Ltd - Stock Performance

Amounts in INR, unless stated otherwise

Date	**Open**	**High**	**Low**	**Close**	**Re**
September 22, 2026	95.11	99.29	95.11	97.48	
January 3, 2000	6.40	6.40	6.40	6.40	

Verdict: Scale Needs Proof

Remsons has moved beyond its old identity and FY26 shows operating progress. The opportunity lies in a wider product basket, global orders and new capabilities. The counterweight is integration, capital deployment and the need to prove returns from acquired businesses. The next few years shoul show whether diversification is strengthening the economics or simply increasing the size of the group.

Methodology

For the purposes of this series, we use only publicly available information. What the companies have said in their annual reports for the last many years, management calls, or investors meetings. We comb through their annual reports to figure out whether the company faces an existential threat and whether it is ready to admit it or not.

If it has admitted to a threat, what does it plan to

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do? Let's say a company has admitted that it had a threat. Has it taken any steps in the last three years to change its business model? Have such steps had any impact on the working of the company?

Will also look at their financial performance over the last 10 years. A company whose overall sales have not even grown at the rate of inflation is not worth keeping in your portfolio. We read between the lines of annual reports to figure out what lies ahead for the business and the company's earnings. Ultimately, it is earnings which matter for and on the street.

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